	Bills Receivable:		
	H Ltd.	360	
	S Ltd.	199	
		559	
	Less: Mutual Owing	(45)	514
			4,477
9	**Cash and cash equivalents**		
	Cash and Bank Balances		**1,694**
10	**Short term loans and advances**		
	Sundry Advances		**520**

Share holding pattern of S Ltd.

Shares as on 31st March, 20X1 (Includes bonus shares issued on 1.1.X1)	480 lakh shares (4,800 lakhs/₹ 10)
H Ltd.'s holding as on 1st April, 20X0	180 lakhs
Add: Bonus received on 1st January, 20X1	108 lakhs [(180/5) x 3]
Total H Ltd.'s holding as on 31st March, 20X1	288 lakhs i.e. 60 % (288/480 x 100)
Minority Shareholding	40%

Working Notes:

1. S Ltd.'s General Reserve Account

Particulars	**₹ in lakhs**	**Particulars**	**₹ in lakhs**
To Bonus to equity shareholders (WN-8)	1,800	By Balance b/d	3,000
To Balance c/d	1,380	By P&L A/c (Bal. figure)	180
	3,180		**3,180**

2. S Ltd.'s Profit and Loss Account

Particulars	**₹ in lakhs**	**Particulars**	**₹ in lakhs**
To General Reserve [WN 1]	180	By Balance b/d	1,200
To Dividend paid (20% on ₹ 3,000 lakhs)	600	By N.P. for the year* (Bal. figure)	1,200
To Balance c/d	1,620		
	2,400		**2,400**

*Out of ₹ 1,200 lakhs profit for the year, ₹ 180 lakhs has been transferred to reserves.

3. Distribution of Revenue profits

	₹ in lakhs
Revenue profits (W. N. 2)	1,200
Less: Share of H Ltd. 60% (General Reserve ₹ 108 + Profit and Loss Account ₹ 612)	(720)
Share of Minority Shareholders (40%)	480

Note: The question can also be solved by taking ₹ 1,020 lakhs as post-acquisition Profit and Loss balance and ₹ 180 lakhs as post-acquisition General Reserve balance. The final answer will be same.

4. Calculation of Capital Profits

	₹ in lakhs

General Reserve on the date of acquisition less bonus shares (₹ 3,000 – ₹ 1,800)	1,200
Profit and loss account on the date of acquisition less dividend paid (₹ 1,200 – ₹ 600)	600
	1,800

H Ltd.'s share = 60% of ₹ 1,800 lakhs = ₹ 1,080 lakhs

Minority interest = ₹ 1,800 – ₹ 1,080 = ₹ 720 lakhs

5. Calculation of capital reserve

	₹ in lakhs
Paid up value of shares held (60% of ₹ 4,800)	2,880
Add: Share in capital profits [WN 4]	1,080
	3,960
Less: Cost of shares less dividend received (₹ 3,000 – ₹ 360)	(2,640)
Capital reserve	1,320

6. Calculation of Minority Interest

	₹ in lakhs
40% of share capital (40% of ₹ 4,800)	1,920
Add: Share in revenue profits [WN 3]	480
Share in capital profits [WN 4]	720
	3,120

7. Unrealized profit in respect of inventory

₹ 100 lakhs x $\frac{25}{125}$ = ₹ 20 lakhs

8. Computation of bonus to equity shareholders

	₹ In lakhs
Shares as on 31st March 20X1 including bonus share issued on 1st January 20X1	4,800
Or we can say these are $1 + \frac{3}{5}$ Or $\frac{8}{5}$	
i.e. Shares before bonus issue should have been $\frac{4,800}{8/5}$ =	3,000
Accordingly, bonus issue would be (4,800 – 3,000)	1,800

Consolidated Balance Sheet [With Uniformity of Accounting Policy]

Question 22

Subsidiary B Ltd. provides the following balance sheet:

Particulars			Notes	20X0 (₹)	20X1 (₹)
		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	5,00,000	5,00,000

	(b)	Reserves and Surplus	2	2,86,000	7,14,000
2		**Current liabilities**			
	(a)	Short term borrowings	3	–	1,70,000
	(b)	Trade Payables		4,90,000	4,94,000
	(c)	Short-term provisions	4	3,10,000	4,30,000
		Total		**15,86,000**	**23,08,000**
		Assets			
1		**Non-current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	5	2,72,000	2,24,000
	(b)	Non-current investment			4,00,000
2		**Current Assets**			
	(a)	Inventories		5,97,000	7,42,000
	(b)	Trade receivables		5,94,000	8,91,000
	(c)	Cash and Cash equivalents		51,000	3,000
	(d)	Other current assets	6	72,000	48,000
		Total		**15,86,000**	**23,08,000**

Notes to Accounts

S. No.	Particulars	20X0 (₹)	20X1 (₹)
1	**Share capital**		
	5,000 equity shares of ₹ 10 each, fully paid up	5,00,000	5,00,000
2	**Reserves and Surplus**		
	General Reserves	2,86,000	7,14,000
3	**Short term borrowings**		
	Bank overdraft	–	1,70,000
4	**Short term provisions**		
	Provision for taxation	3,10,000	4,30,000
5	**Property, plant and equipment**		
	Cost	3,20,000	3,20,000
	Less: Depreciation	(48,000)	(96,000)
	Total	2,72,000	2,24,000
6	**Other current Assets**		
	Prepaid expenses	72,000	48,000

Also consider the following information:

(a) B Ltd. is a subsidiary of A Ltd. Both the companies follow calendar year as the accounting year.

(b) A Ltd. values inventory on weighted average basis while B Ltd. used FIFO basis. To bring B Ltd.'s values in line with those of A Ltd, its value of inventory is required to be reduced by ₹ 12,000 at the end of 20X0 and ₹ 34,000 at the end of 20X1.

(c) B Ltd. deducts 1% from Trade Receivables as a general provision against doubtful debts. This policy is not followed by A Ltd.

(d) Prepaid expenses in B Ltd. include advertising expenditure carried forward of ₹ 60,000 in 20X0 and ₹ 30,000 in 20X1, being part of initial advertising expenditure of ₹ 90,000 in 20X0 which is being written off over three years. Similar amount of advertising expenditure of A Ltd. has been fully written off in 20X0.

Restate the balance sheet of B Ltd. as at 31st December, 20X1 after considering the above information, for the purpose of consolidation. Would restatement be necessary to make the accounting policies adopted by A Ltd. and B Ltd. uniform.

Answer

As per para 20 and 21 of AS 21, Consolidated financial statements:

Consolidated financial statements should be prepared using uniform accounting policies for like transactions and other events in similar circumstances. If it is not practicable to use uniform accounting policies in preparing the consolidated financial statements, that fact should be disclosed together with the proportions of the items in the consolidated financial statements to which the different accounting policies have been applied.

If a member of the group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to its financial statements when they are used in preparing the consolidated financial statements.

Accordingly in the given case, restatement would be required to make the accounting policies of A Ltd and B Ltd uniform.

Adjusted reserves of B Ltd.:

	₹	₹
Reserves as given		7,14,000
Add: Provision for doubtful debts [{(8,91,000/99) x 100} – 8,91,000]		9,000
		7,23,000
Less: Reduction in value of Inventory	34,000	
Advertising expenditure to be written off	30,000	(64,000)
Adjusted reserves		**6,59,000**

Note: No adjustment would be required in respect of opening inventory of B Ltd as that will not have any impact on P&L.

Restated Balance Sheet of B Ltd. as at 31st December, 20X1

Particulars			Notes	20X1 (₹)
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	5,00,000
	(b)	Reserves and Surplus	2	6,59,000
2		**Current liabilities**		
	(a)	Short term borrowings	3	1,70,000
	(b)	Trade Payables		4,94,000
	(c)	Short-term provisions	4	4,30,000
		Total		**22,53,000**

		Assets		
1		**Non-current assets**		
	(a)	PPE and intangible asset		
		i Property, plant and Equipment	5	2,24,000
	(b)	Non-current investment		4,00,000
2		**Current Assets**		
	(a)	Inventories	6	7,08,000
	(b)	Trade receivables	7	9,00,000
	(c)	Cash and Cash equivalents		3,000
	(d)	Other current assets	8	18,000
		Total		**22,53,000**

Notes to Accounts

S. No.	Particulars	20X1 (₹)
1	**Share capital**	
	5,000 equity shares of ₹ 10 each, fully paid up	**5,00,000**
2	**Reserves and Surplus**	
	General Reserves (refer to WN)	**6,59,000**
3	**Short term borrowings**	
	Bank overdraft	**1,70,000**
4	**Short term provisions**	
	Provision for taxation	**4,30,000**
5	**Property, plant and equipment**	
	Cost	3,20,000
	Less: Depreciation	(96,000)
	Total	**2,24,000**
6	**Inventory**	
	Actual inventory	7,42,000
	Less: Change in method of valuation	(34,000)
		7,08,000
7	**Trade receivables**	
	Actual trade receivables	8,91,000
	Add: Adjustment for provision	9,000
		9,00,000
8	**Other current Assets**	
	Prepaid expenses	**48,000**

Question 23

The Balance Sheets of Art Limited and Craft Limited as on 31st March 20X1 are as below:

Particulars	Note	Art Limited (₹)	Craft Limited (₹)

		Equity and Liabilities			
1		**Shareholders' funds**			
	(a)	Share capital	1	6,50,000	4,00,000
	(b)	Reserve and surplus	2	3,12,000	2,48,000
2		**Current liabilities**			
	(a)	Short–term borrowings	3	70,000	–
	(b)	Trade Payables		1,45,000	92,000
		Total		**11,77,000**	**7,40,000**
		Assets			
1		**Non–current assets**			
	(a)	PPE and intangible asset			
		i Property, plant and Equipment	4	4,21,000	3,60,000
	(b)	Non–current investment	5	4,32,000	–
2		**Current Assets**			
	(a)	Inventories		1,66,000	2,05,000
	(b)	Trade receivables		1,33,500	1,68,300
	(c)	Cash and Cash equivalents	6	24,500	6,700
		Total		**11,77,000**	**7,40,000**

S. No.	Particulars	Art Limited (₹)	Craft Limited (₹)
1.	**Share Capital**		
	6,500 shares of ₹ 100 each fully paid up	6,50,000	–
	4,000 shares of ₹ 100 each fully paid-up	–	4,00,000
		6,50,000	**4,00,000**
2.	**Reserves and Surplus**		
	General Reserve	1,20,000	40,000
	Profit and Loss Account	1,92,000	2,08,000
		3,12,000	**2,48,000**
3.	**Short–term borrowings**		
	Bank Overdraft	**70,000**	–
4.	**Property, plant & equipment**		
	Land & Building	1,90,000	1,35,000
	Plant & Machinery	2,31,000	2,25,000
		4,21,000	**3,60,000**
5.	**Non–Current Investment**		
	Investment in Craft Limited (Cost)	**4,32,000**	–
6.	**Cash & Cash equivalents**		
	Cash	**24,500**	**6,700**

Additional information:

(i) Art Limited acquired 3,200 ordinary shares of Craft Limited on 1st October, 20X0. The General Reserve

and Profit & Loss Account of Craft Limited showed a credit balance of ₹ 40,000 and ₹ 58,700 respectively as on 1st April, 20X0.

(ii) The Plant & Machinery of Craft Limited which stood at ₹ 2,50,000 as on 1st April, 20X0 was considered worth ₹ 2,20,000 on the date of acquisition. The depreciation on Plant & Machinery is calculated @ 10% p.a. on the basis of useful life. The revaluation of Plant & Machinery is to be considered at the time of consolidation.

(iii) Craft Limited deducts 1% from Trade Receivables as a general provision against doubtful debts. This policy is not followed by Art Limited.

(iv) On 31st March 20X1, Craft Limited's inventory includes goods which it had purchased from Art Limited for 1,03,500 which made a profit of 15% on cost price.

You are required to prepare a consolidated Balance Sheet as on 31st March 20X1.

Answer

Consolidated Balance Sheet of Art and Craft Ltd as on 31st March, 20X1

Particulars			Note No.	₹
		Equity and Liabilities		
1		**Shareholders' funds**		
	(a)	Share capital	1	6,50,000
	(b)	Reserve and surplus	2	3,73,460
2		**Minority Interest**	3	1,26,740
3		**Current liabilities**		
	(a)	Short term borrowings	4	70,000
	(b)	Trade Payables (1,45,000 + 92,000)		2,37,000
		Total		**14,57,200**
		Assets		
1		**Non–current assets**		
	(a)	PPE and intangible asset		
		i Property, Plant and Equipment	5	7,65,000
2		**Current Assets**		
	(a)	Inventory	6	3,57,500
	(b)	Trade receivables	7	3,03,500
	(c)	Cash and Cash equivalents	8	31,200
		Total		**14,57,200**

Notes to accounts

S. No.	Particulars	₹	₹
1.	**Share Capital**		
	Equity Share Capital		
	6,500 shares of ₹ 100 each fully paid up		**6,50,000**
2.	**Reserves and Surplus**		
	Profit & Loss A/c (WN 5)		2,40,100
	General Reserve (WN 5)		1,20,000

	Capital Reserve (W.N. 3)		13,360
			3,73,460
3.	**Minority Interest in Craft Ltd. (W.N.4)**		**1,26,740**
4.	**Short–term borrowings**		
	Bank Overdraft		**70,000**
5.	**Property, plant & equipment**		
	Land & Building		
	Art Ltd.	1,90,000	
	Craft Ltd.	1,35,000	3,25,000
	Plant & Machinery		
	Art Ltd.	2,31,000	
	Craft Ltd. (2,25,000 – 17,500 + 1,500)	2,09,000	4,40,000
			7,65,000
6.	**Inventory**		
	Art Ltd.	1,66,000	
	Craft Ltd.	2,05,000	
	Less: Unrealized profit	(13,500)	**3,57,500**
7.	**Trade Receivables**		
	Art Ltd.	1,33,500	
	Craft Ltd.	1,70,000	**3,03,500**
8.	**Cash & Cash Equivalents**		
	Art Ltd.	24,500	
	Craft Ltd.	6,700	**31,200**

Working Notes:

1. Shareholding Pattern

Total 4,000 shares	
3,200 shares	800 shares
Art Ltd (80%)	20% Minority Interest

2. Analysis of Profit

Particulars	**General reserve**	**P&L account**
Opening balance	40,000	58,700
Closing balance	40,000	2,08,000
Changes during the year	–	1,49,300

Analysis of Profit

Particulars	**Pre profit (6 months) (₹)**	**Post profit (6 months) (₹)**
Opening Balances (40,000 + 58,700)	98,700	–
Profit for 6 months (1,49,300 x 6/12)	74,650	74,650
Provision reversed (1,700) (W.N. 8)	850	850
Revaluation Loss (W.N. 6)	(17,500)	–

Savings in depreciation (W.N. 6)	–	1,500
Total	**1,56,700**	**77,000**
Holding (80%)	1,25,360	61,600
Minority Interest (20%)	31,340	15,400

3. Cost of Control

Particulars	**₹**	**₹**
Cost of Investment (Given)		4,32,000
Less: Share in Net Assets:		
(a) Share Capital (3,200 shares x ₹100)	3,20,000	
(b) Capital Profit (W.N. 2)	1,25,360	(4,45,360)
Capital Reserve		**13,360**

4. Minority Interest

Particulars	**₹**
Share Capital (800 shares x 100)	80,000
Capital Profit (W.N. 2)	31,340
Revenue Profit (W.N. 2)	15,400
Total	**1,26,740**

5. Consolidated Profit and General Reserve of Art Ltd

Particulars	**P&L A/c (₹)**	**General reserve (₹)**
Balance as per Balance Sheet	1,92,000	1,20,000
Revenue Profit	61,600	–
Unrealized Profit (Downstream)	(13,500)	–
Total	**2,40,100**	**1,20,000**

6. Calculation of Revaluation Profit/Loss

Particulars	**₹**
Balance as on 01.04.20X0 (given)	2,50,000
Depreciation for 6 months (2,50,000 x 10% x 6/12)	(12,500)
WDV as on date of acquisition	2,37,500
Revalued amount	2,20,000
Revaluation Loss	17,500

7. Savings in Depreciation

= Depreciation Provided for 6 months – Depreciation Should be

= 12,500 – (2,20,000 x 10% x 6/12) = 1,500

8. Calculation of provision reversed

Trade Receivable (Given) = 1,68,300 it is after provision i.e. 99%. So, 100% will be 1,70,000 therefore provision will be 1,700.

As per para 20 and 21 of AS 21, Consolidated financial statements: Consolidated financial statements should be prepared using uniform accounting policies for like transactions and other events

in similar circumstances. If it is not practicable to use uniform accounting policies in preparing the consolidated financial statements, that fact should be disclosed together with the proportions of items in the consolidated financial statements to which the different accounting policies have been applied.

Preparation of Consolidated Statement of P&L

Question 24

H Ltd and its subsidiary S Ltd provide the following information for the year ended 31st March, 20X3:

	H Ltd. (₹ in lacs)	S Ltd. (₹ in lacs)
Sales and other income	5,000	1,000
Increase in Inventory (closing less opening)	1,000	200
Raw material consumed	800	200
Wages and Salaries	800	150
Production expenses	200	100
Administrative Expenses	200	100
Selling and Distribution Expenses	200	50
Interest	100	50
Depreciation	100	50

Other Information:

H Ltd. sold goods to S Ltd. of ₹ 120 lacs at cost plus 20%. Inventory of S Ltd. includes such goods valuing ₹ 24 lacs. Administrative expenses of S Ltd. include ₹ 5 lacs paid to H Ltd. as consultancy fees. Selling and distribution expenses of H Ltd. include ₹ 10 lacs paid to S Ltd. as commission.

H Ltd. holds 80% of equity share capital of ₹ 1,000 lacs in S Ltd. prior to 20X1-20X2. H Ltd. took credit to its Profit & Loss A/c, the proportionate amount of dividend declared and paid by S Ltd. for the year 20X1-20X2.

Prepare a consolidated statement of profit and loss.

Answer

Consolidated statement of profit and loss of H Ltd. and S Ltd. for the year ended on 31st March, 20X3

Particulars		Note No.	₹ in Lacs
I.	Revenue from operations	1	5,865
II.	**Total Income**		**5,865**
III.	Expenses		
	Cost of material purchased/consumed	2	880
	Changes of inventories of finished goods	3	(1,196)
	Employee benefit expense	4	950
	Finance cost	5	150
	Depreciation and amortization expense	6	150
	Other expenses	7	835
	Total expenses		**1,769**
IV.	**Profit before tax (II – III)**		**4,096**

Notes to Accounts

S. No.	Particulars	₹ in Lacs	₹ in Lacs
1	**Revenue from operations**		
	Sales and other income		
	H Ltd.	5,000	
	S Ltd.	1,000	
		6,000	
	Less: Inter-company sales	(120)	
	Consultancy fees received by H Ltd. from S Ltd.	(5)	
	Commission received by S Ltd. from H Ltd.	(10)	**5,865**
2	**Cost of material purchased/consumed**		
	H Ltd.	800	
	S Ltd.	200	
		1,000	
	Less: Purchases by S Ltd. from H Ltd.	(120)	**880**
3	**Changes of inventories of finished goods**		
	H Ltd.	1,000	
	S Ltd.	200	
	Less: Unrealized profits [₹ 24 lacs x 20/120]	(4)	**1,196**
4	**Employee benefits and expenses**		
	Wages and salaries:		
	H Ltd.	800	
	S Ltd.	150	**950**
5	**Finance cost**		
	Interest:		
	H Ltd.	100	
	S Ltd.	50	**150**
6	**Depreciation**		
	H Ltd.	100	
	S Ltd.	50	**150**
7	**Other expenses**		
	Administrative expenses:		
	H Ltd.	200	
	S Ltd.	100	
	Less: Consultancy fees received by H Ltd. from S Ltd.	(5)	295
	Selling and distribution Expenses:		
	H Ltd.	200	
	S Ltd.	50	
	Less: Commission received by S Ltd. from H Ltd.	(10)	240
	Direct expenses (Production):		

	H Ltd.	200	
	S Ltd.	100	300
			835

Question 25

Chand Ltd. and its subsidiary Sitara Ltd. provided information for the year ended 31st March, 20X4:

Particulars	Chand Ltd (₹)	Sitara Ltd. (₹)
Equity Share Capital	20,00,000	6,00,000
Finished Goods Inventory as on 01.04.20X3	4,20,000	3,01,000
Finished Goods Inventory as on 31.03.20X4	8,57,500	3,76,250
Dividend Income	1,68,000	43,750
Other non-operating Income	35,000	10,500
Raw material consumed	13,93,000	4,72,500
Selling and Distribution Expenses	3,32,500	1,57,500
Production Expenses	3,15,000	1,40,000
Loss on sale of investments	26,250	Nil
Sales and other operating income	33,25,000	19,07,500
Wages and Salaries	13,30,000	2,45,000
General and Administrative Expenses	2,80,000	1,22,500
Royalty paid	Nil	5,000
Depreciation	31,500	14,000
Interest expense	17,500	5,250

Other information

- On 1st September 20X1 Chand Ltd., acquired 5,000 equity shares of ₹ 100 each fully paid up in Sitara Ltd.
- Sitara Ltd. paid a dividend of 10% for the year ended 31st March 20X3. The dividend was correctly accounted for by Chand Ltd.
- Chand Ltd. sold goods of ₹ 1,75,000 to Sitara Ltd. at a profit of 20% on selling price. Inventory of Sitara Ltd. includes goods of ₹ 70,000 received from Chand Ltd.
- Selling and Distribution expenses of Sitara Ltd. include ₹ 21,250 paid to Chand Ltd. as brokerage fees.
- General and Administrative expenses of Chand Ltd. include ₹ 28,000 paid to Sitara Ltd. as consultancy fees.
- Sitara Ltd. used some resources of Chand Ltd., and Sitara Ltd. paid ₹ 5,000 to Chand Ltd. as royalty.
- Consultancy fees, Royalty and brokerage received is to be considered as operating revenues.

Prepare Consolidated Statement of Profit and Loss of Chand Ltd. and its subsidiary Sitara Ltd. for the year ended 31st March, 20X4 as per Schedule III to the Companies Act, 2013.

Answer

Consolidated statement of P&L of Chand Ltd. and its subsidiary Sitara Ltd. for year ended 31.3.20X4

Particulars	Note No.	₹

Revenue from operations	1	50,03,250
Other Income	2	2,57,250
Total Income (I)		**52,60,500**
Expenses:		
Cost of material purchased/consumed	3	16,90,500
Changes (Increase) in inventories of finished goods	4	(4,98,750)
Employee benefit expense	5	15,75,000
Finance cost	6	22,750
Depreciation and amortization expense	7	45,500
Other expenses	8	13,24,500
Total expenses (II)		**41,59,500**
Profit before tax (II – III)		**11,01,000**

Notes to Accounts:

S. No.	Particulars	₹	₹
1	**Revenue from operations**		
	Sales and other income:		
	Chand Ltd.	33,25,000	
	Sitara Ltd.	19,07,500	
		52,32,500	
	Less: Inter-company sales	(1,75,000)	
	Consultancy fees received by Sitara Ltd. from Chand Ltd.	(28,000)	
	Royalty received by Chand Ltd. from Sitara Ltd.	(5,000)	
	Brokerage received by Chand Ltd. from Sitara Ltd.	(21,250)	**50,03,250**
2	**Other Income**		
	Dividend income:		
	Chand Ltd.	1,68,000	
	Sitara Ltd.	43,750	2,11,750
	Other Non-operating Income		
	Chand Ltd.	35,000	
	Sitara Ltd.	10,500	45,500
			2,57,250
3	**Cost of material purchased/consumed**		
	Cost of material purchased/consumed:		
	Chand Ltd.	13,93,000	
	Sitara Ltd.	4,72,500	
		18,65,500	
	Less: Purchases by Sitara Ltd. From Chand Ltd.	(1,75,000)	**16,90,500**
4	**Changes (Increase) in inventories of finished goods**		
	Chand Ltd.	4,37,500	
	Sitara Ltd.	75,250	

		5,12,750	
	Less: Unrealized profits [₹ 7,00,000 x 20/100]	(14,000)	**4,98,750**
5	**Employee benefits and expenses**		
	Wages and salaries:		
	Chand Ltd.	13,30,000	
	Sitara Ltd.	2,45,000	**15,75,000**
6	**Finance cost**		
	Interest:		
	Chand Ltd.	17,500	
	Sitara Ltd.	5,250	**22,750**
7	**Depreciation**		
	Chand Ltd.	31,500	
	Sitara Ltd.	14,000	**45,500**
8	**Other expenses**		
	General & Administrative expenses:		
	Chand Ltd.	2,80,000	
	Sitara Ltd.	1,22,500	
		4,02,500	
	Less: Consultancy fees received by Sitara Ltd. from Chand Ltd.	(28,000)	3,74,500
	Royalty:		
	Sitara Ltd.	5,000	
	Less: Received by Chand Ltd. Selling and distribution	(5,000)	Nil
	Expenses:		
	Chand Ltd.	3,32,500	
	Sitara Ltd.	1,57,500	
		4,90,000	
	Less: Brokerage received by Chand Ltd. from Sitara Ltd.	(21,250)	4,68,750
	Direct expenses (Production):		
	Chand Ltd.	3,15,000	
	Sitara Ltd.	1,40,000	4,55,000
	Loss on sale of investments Sitara Ltd.		26,250
			13,24,500

Accounting for Investment in Associate Company [AS 23]

Question 26

Hill Ltd. has a share capital of 50,000 shares @ ₹ 100 per share. Sun Ltd. acquired 15% shares in Hill Ltd. on 1.4.20X1. It also acquired all the 5,000, 12% convertible debentures of ₹ 100 each of Hill Ltd. These debentures will be converted at par into equity shares of Hill Ltd. after 3 years. State whether, as per AS 23, Hill Ltd. is an Associate of Sun Ltd. or not with reasons?

Answer

As per para 3 of AS 23 'Accounting for Investments in Associates in Consolidated Financial Statements', an associate is an enterprise in which the investor has significant influence and which is neither a subsidiary nor a joint venture of the investor.

Standard further explains in para 4 that as regards share ownership, if an investor holds, directly or indirectly through subsidiary (ies), 20% or more of the voting power of the investee, it is presumed that the investor has significant influence, unless it can be clearly demonstrated that this is not the case. Conversely, if the investor holds, directly or indirectly through subsidiary (ies), less than 20% of the voting power of the investee, it is presumed that the investor does not have significant influence, unless such influence can be clearly demonstrated.

Further as per an explanation to para 4 of the standard, for the purpose of classification of associate, the potential equity shares of the investee held by the investor will not be taken into account for determining the voting power of the investor. In other words, the voting power should be determined on the basis of the current outstanding securities with voting rights.

As per the information given in the question, Sun Ltd. presently holds indirectly 22.7% shares (with and without voting rights) (Refer W.N.) in Hill Ltd. However, the current outstanding securities with voting rights in Hill Ltd. is only 15% and the remaining holding is on account of potential equity shares. Since potential equity shares do not have voting rights they will not be taken into consideration while determining the significant influence of Sun Ltd. on Hill Ltd. Hence, Hill Ltd. is not an associate of Sun Ltd.

Working Note:

Calculation of percentage of holding of shares after conversion

	₹
Current holding is 15% i.e. 7,500 shares of ₹ 100 each	7,50,000
Potential equity shares i.e. 5,000 shares of ₹ 100 each	5,00,000
	12,50,000

Total share capital of Hill Ltd. after conversion of debentures into equity shares will be = ₹ 50,00,000 + ₹ 5,00,000 = ₹ 55,00,000

Question 27

A Ltd. acquire 45% of B Ltd. shares on April 01, 20X1, the price paid was ₹ 15,00,000. Following are the extracts of balance sheet of B Ltd. as of 1 April 20X1:

Paid up Equity Share Capital	₹ 10,00,000
Securities Premium	₹ 1,00,000
Reserve & Surplus	₹ 5,00,000

B Ltd. has reported net profits of ₹ 3,00,000 and paid dividends of ₹ 1,00,000 for the year ended 31 March 20X2. Calculate the amount at which the investment in B Ltd. should be shown in the consolidated balance sheet of A Ltd. as on March 31, 20X2.

Answer

Calculation of Goodwill/Capital Reserve under Equity Method

Particulars		₹	₹
Investment in B Ltd.	(A)		15,00,000
Equity Shares		10,00,000	
Security Premium		1,00,000	
Reserves & Surplus		5,00,000	
Net Assets		16,00,000	
45% of Net Asset	(B)		7,20,000
Goodwill (A – B)			**7,80,000**

Calculation of Carrying Amount of Investment in the year ended on 31st March, 20X2

Particulars	₹
Share of Net Assets on 1 April 20X1	7,20,000
Add: Goodwill	7,80,000
Cost of Investment	15,00,000
Add: Profit during the year (3,00,000 x 45%)	1,35,000
Less: Dividend paid (1,00,000 x 45%)	(45,000)
Carrying Amount of Investment	**15,90,000**

Question 28

A Ltd. acquired 25% of shares in B Ltd. as on 31.3.20X1 for ₹ 3 lakhs. The Balance Sheet of B Ltd. as on 31.3.20X1 is given below:

	₹
Share Capital	5,00,000
Reserves and Surplus	5,00,000
	10,00,000
PPE	5,00,000
Investments	2,00,000
Current Assets	3,00,000
	10,00,000

During the year ended 31.3.20X2 the following are the additional information available:

(i) A Ltd. received dividend from B Ltd., for the year ended 31.3.20X1 at 40% from the Reserves.

(ii) B Ltd., made a profit after tax of ₹ 7 lakhs for the year ended 31.3.20X2.

(iii) B Ltd., declared a dividend @ 50% for the year ended 31.3.20X2 on 30.4.20X2.

A Ltd. is preparing Consolidated Financial Statements in accordance with AS 21 for its various subsidiaries. Calculate:

(i) Goodwill if any on acquisition of B Ltd.'s shares.

(ii) How A Ltd., will reflect the value of investment in B Ltd., in the Consolidated Financial Statements?

(iii) How the dividend received for 31.3.20X2 on 30.4.20X2 from B Ltd. will be shown in the Consolidated Financial Statements?

Answer

In terms of AS 23, B Ltd. will be considered as an associate company of A Ltd. as shares acquired represent to more than 20%.

(i) Calculation of Goodwill **(₹ in lakhs)**

Amount paid towards acquisition of stake in B Ltd.	3.00
Less: Pre-acquisition dividend (₹ 5,00,000 x 40% x 25%)	0.50
Cost of Investment in B Ltd.	2.50
Less: Share in the value of Equity of B Ltd. as at the date of investment [25% of ₹ 8 lakhs (₹ 5 lakhs + ₹ 5 lakhs – ₹ 2 lakhs)]	(2.00)
Goodwill	**0.50**

(ii) A Ltd.

Consolidated Profit and Loss Account for the year ended 31st March, 20X2 (An extract)

		₹ in lakhs
Other income:		
Share of profits in B Ltd.		1.75
Pre-acquisition Dividend received from B Ltd.	0.50	
Transfer to investment A/c	(0.50)	Nil

(iii) A Ltd.

Consolidated Balance Sheet as on 31.3.20X2 (An extract)

		₹ in lakhs
Non-current investments		
Investment in B Ltd.		
Cost of Investment in B Ltd. (including goodwill)	2.50	
Share of profit for year 20X1-20X2	1.75	4.25

Working Notes:

1. Pre-acquisition dividend received from B Ltd. amounting to ₹ 0.50 lakhs will be reduced from investment value in the books of A Ltd.
2. B Ltd. made a profit of ₹ 7 lakhs for the year ended 31st March, 20X2. A Ltd.'s share in the profits of ₹ 7 lakhs is ₹ 1.75 lakhs. Investment in B Ltd. will be increased by ₹ 1.75 lakhs and consolidated profit and loss account of A Ltd. will be credited with ₹ 1.75 lakhs in the consolidated financial statement of A Ltd.
3. Dividend declared on 30.4.20X2 will not be recognized in the consolidated financial statement of A Ltd.

Question 29

Bright Ltd. acquired 30% of East India Ltd. shares for ₹ 2,00,000 on 01-06-20X1. By such an acquisition Bright can exercise significant influence over East India Ltd. During the financial year ending on 31-03-20X1 East India earned profits ₹ 80,000 and declared a dividend of ₹ 50,000 on 12-08-20X1. East India reported earnings of ₹ 3,00,000 for the financial year ending on 31-03-20X2 (assume profits to accrue evenly) and declared dividends of ₹ 60,000 on 12-06-20X2.

Calculate the carrying amount of investment in:

(i) Separate financial statements of Bright Ltd. as on 31-03-20X2;

(ii) Consolidated financial statements of Bright Ltd.; as on 31-03-20X2;

(iii) What will be the carrying amount as on 30-06-20X2 in consolidated financial statements?

Answer

(i) Carrying amount of investment in Separate Financial Statement of Bright Ltd. as on 31.03.20X2

	₹
Amount paid for investment in Associate (on 1.06.20X1)	2,00,000
Less: Pre-acquisition dividend (₹ 50,000 x 30%)	(15,000)
Carrying amount as on 31.3.20X2 as per AS 13	**1,85,000**

(ii) Carrying amount of investment in Consolidated Financial Statements of Bright Ltd. as on 31.3.20X2 as per AS 23.

	₹
Carrying amount as per separate financial statements	1,85,000
Add: Proportionate share of 10-month profit of investee as per equity method (30% of ₹ 3,00,000 x 10/12)	75,000
Carrying amount as on 31.3.20X2	**2,60,000**

(iii) Carrying amount of investment in Consolidated Financial Statement of Bright Ltd. as on 30.6.20X2 as per AS 23

	₹
Carrying amount as on 31.3.20X2	2,60,000
Less: Dividend received (₹ 60,000 x 30%)	(18,000)
Carrying amount as on 30.6.20X2	**2,42,000**

Question 30

A Ltd. acquired 40% share in B Ltd. on April 01, 20X1 for ₹ 10 lacs. On that date, B Ltd. had 1,00,000 equity shares of ₹ 10 each fully paid and accumulated profits of ₹ 2,00,000. During the year 20X1-20X2, B Ltd. suffered a loss of ₹ 10,00,000; during 20X2-20X3 loss of ₹ 12,50,000 and during 20X3-20X4 again a loss of ₹ 5,00,000. Show extract of consolidated balance sheet of A Ltd. on all four dates recording the above events.

Answer

Calculation of Goodwill/Capital Reserve under Equity Method

Particulars	₹
Equity Shares	10,00,000
Reserves & Surplus	2,00,000
Net Assets	12,00,000
40% share of Net Assets	4,80,000
Less: Cost of Investment	(10,00,000)
Goodwill	**5,20,000**

Consolidated Balance Sheet (Extract) as on April 01, 20X1: ASSETS

Investment in Associate as per AS 23	₹	₹
Share of Net Assets on April 1	4,80,000	
Add: Goodwill	5,20,000	10,00,000

Calculation of Carrying Amount of Investment as at 31 March 20X2:

Investment in Associate as per AS 23	₹
Share of Net Assets on 1 April, 20X1	4,80,000
Add: Goodwill	5,20,000
Cost of Investment	10,00,000
Less: Loss for the year (10,00,000 x 40%)	(4,00,000)
Carrying Amount of Investment	**6,00,000**

Consolidated Balance Sheet (Extract) as on March 31, 20X2: ASSETS

Investment in Associate as per AS 23	₹	₹
Share of Net Assets on 1 April, 20X1	4,80,000	
Less: Share of Loss as above	(4,00,000)	
	80,000	
Add: Goodwill	5,20,000	6,00,000

Calculation of Carrying Amount of Investment as at 31 March 20X3:

Investment in Associate as per AS 23	₹
Carrying Amount of Investment as on 31 March 20X2	6,00,000
Less: Loss for the year (12,50,000 x 40%)	(5,00,000)
Carrying Amount of Investment	**1,00,000**

Consolidated Balance Sheet (Extract) as on March 31, 20X3: ASSETS

Investment in Associate as per AS 23	₹	₹
Share of Net Assets on 1 April, 20X1	4,80,000	
Less: Share of Loss as above (₹ 4,00,000 + ₹ 5,00,000)	(9,00,000)	
	(4,20,000)	
Add: Goodwill	5,20,000	1,00,000

Calculation of Carrying Amount of Investment as at 31 March 20X4:

Investment in Associate as per AS 23	₹
Carrying Amount of Investment	1,00,000
Less: Loss for the year (5,00,000 x 40% = 2,00,000, restricted to Carrying amount of Investment in B Ltd.) - refer note below	
Carrying Amount of Investment	

Consolidated Balance Sheet (Extract) as on March 31, 20X4: ASSETS

Investment in Associate as per AS 23	₹
Investment in B Ltd.	–

Question 31

A Ltd. invested ₹ 1,00,000 to acquire 10% stake (Investment I) in B Ltd. and later invested ₹ 3,00,000 to acquire additional 20% (Investment II). The net asset value of the B ltd. at the respective investment dates was ₹ 7,50,000 and ₹ 12,50,000 respectively. Determine whether B Ltd. is an associate of A Ltd. Also, calculate goodwill arising on the acquisition of the associate.

Answer

As per para 3 of AS 23 an associate is an enterprise in which the investor has significant influence and which is neither a subsidiary nor a joint venture of the investor. Significant influence may be gained by share ownership, statute or agreement. As regards share ownership, if an investor holds, directly or indirectly through subsidiary(ies), 20% or more of the voting power of the investee, it is presumed that the investor has significant influence, unless it can be clearly demonstrated that this is not the case. In this case, A Ltd. has invested 30% in B Ltd. so B Ltd. is to be considered as an associate of A Ltd.

The goodwill arising on the acquisition of the associate will be computed as follows:

		₹
Investment I	Cost of Investment	1,00,000
	Share in net asset (10 percent of ₹ 7,50,000)	(75,000)
	Goodwill (A)	**25,000**
Investment II	Cost of Investment	3,00,000
	Share in net asset (20 percent of ₹ 12,50,000)	(2,50,000)
	Goodwill (B)	**50,000**
Total goodwill (A + B)		**75,000**

Accounting for Investment in Subsidiary [AS 21] & Associate [AS 23]

Question 32

On 1st February, 20X2, Best Ltd. acquired 80% Equity shares of Cool Ltd. for ₹ 14,80,000. On 31st March, 20X2, Best Ltd. also acquired 25% Equity shares of Good Ltd. for ₹ 3,80,000. The following are the balances extracted from the books of Best Ltd., Cool Ltd., and Good Ltd. as on 31st March, 20X2:

Particulars	Best Ltd. (₹)	Cool Ltd. (₹)	Good Ltd. (₹)
Equity Shares of ₹ 100 each fully paid	30,00,000	20,00,000	10,00,000
Securities Premium	–	2,20,000	–
9% Debentures	6,30,000	–	2,40,000
General Reserve	2,69,000	84,000	1,20,000
Profit & Loss Account (Credit Balance)	3,26,000	2,70,000	50,000
Investments	17,50,000	6,10,000	–
Property, Plant, and Equipment	18,90,000	18,14,000	12,10,000
Current Assets	9,65,000	5,60,000	2,25,000
Trade Payable (Including Bills Payable)	3,80,000	4,10,000	25,000
Sales and other income	56,00,000	38,00,000	27,00,000
Raw material consumed	36,50,000	31,20,000	22,30,000

Wages and Salaries	5,07,000	4,01,000	2,69,000
Production expenses	1,35,000	1,06,000	98,000

Additional information:

- The Profit and Loss account of Cool Ltd. showed a credit balance of ₹ 30,000 on 1st April, 20X1.
- The General Reserve balance is brought forward from the previous year.
- On 31st March, 20X2, all the bills payable in Cool Ltd.'s balance sheet were acceptances in favour of Best Ltd. However, on the date, Best Ltd. held only ₹ 3,00,000 of these acceptances in hand, the rest having been endorsed in favour of its creditor.
- Best Ltd. purchased goods costing ₹ 5,00,000 from Cool Ltd. on 1st June, 20X1 at a price of ₹ 6,50,000. The entire goods remain unsold with Best Ltd. at the end of the financial year.
- Best Ltd. is preparing Consolidated Financial Statements for the year ending 31.03.20X2.

You are required to calculate:

(1) Trade Payable (Consolidated)

(2) Current Assets (Consolidated)

(3) Minority Interest

(4) Goodwill/Capital Reserve on the acquisition of Cool Ltd.'s shares

(5) Goodwill/Capital Reserve on the acquisition of Good Ltd.'s shares

(6) Profit & Loss Account (Consolidated)

(7) General Reserve (Consolidated)

(8) Revenue from Operations (Consolidated)

(9) Cost of material purchased/consumed (Consolidated)

Answer

1. Trade payable (Consolidated)

Best limited	3,80,000
Add: Cool Ltd	4,10,000
Less: Elimination	(3,00,000)
Total	**4,90,000**

2. Current Assets (Consolidated)

Best limited	9,65,000
Add: Cool Ltd	5,60,000
Less: Elimination of inter-company owing	(3,00,000)
Total	**12,25,000**

3. Minority interest Cool Ltd

Share Capital (20,00,000 x 20%)	4,00,000
Add: Securities premium (2,20,000 x 20%)	44,000
Add: General Reserve (84,000 x 20%)	16,800
Add: Profit and loss balance (20% of 2,70,000)	54,000

Total	**5,14,800**

4. Goodwill/Capital Reserve on Acquisition of Cool Ltd.:

Purchase Consideration	14,80,000
Less: Share Capital (20,00,000 x 80%)	16,00,000
Less: Securities premium (2,20,000 x 80%)	1,76,000
Less: General Reserve (84,000 x 80%)	67,200
Less: Profit and loss balance opening (30,000 x 80%)	24,000
Less: Pre acquisition profits [(2,70,000 – 30,000) x 10/12 x 80%]	1,60,000
Capital Reserves	**5,47,200**

5. Goodwill/Capital Reserve on Acquisition of Good Ltd.:

Purchase Consideration	3,80,000
Less: Share Capital (10,00,000 x 25%)	2,50,000
Less: General Reserve (1,20,000 x 25%)	30,000
Less: Profit and loss balance (50,000 x 25%)	12,500
Goodwill	**87,500**

6. Profit and Loss Account (Consolidated)

Best limited	3,26,000
Add: Post acquisition profit of Cool Ltd [(2,70,000 – 30,000) x 2/12 x 80%]	32,000
Total	**3,58,000**

7. General Reserve (Consolidated)

Best limited	**2,69,000**

8. Revenue (Consolidated) as per para no 15 and 22 of AS 21

Revenue of Best Ltd	56,00,000
Add: Revenue of Cool Ltd. (38,00,000 x 2/12)	6,33,333
	62,33,333

9. Cost of materials purchased/consumed (Consolidated) as per para no 15 and 22 of AS 21

Raw material of Best Ltd	36,50,000
Add: Raw material of Cool Ltd (31,20,000 x 2/12)	5,20,000
	41,70,000

Accounting for Investment in Joint Venture [AS 27]

Question 33

A Ltd. a UK based company entered into a joint venture with B Ltd. in India, wherein B Ltd. will import the goods manufactured by A Ltd. on account of joint venture and sell them in India. A Ltd. and B Ltd. agreed to share the expenses & revenues in the ratio of 5:4 respectively whereas profits are distributed equally. A Ltd. invested 49% of total capital but has equal share in all the assets and is equally liable for all the liabilities of the joint venture. Following is the trial balance of the joint venture at the end of the first year:

Particulars	Dr. (₹)	Cr. (₹)
Purchases	9,00,000	
Other Expenses	3,06,000	
Sales		13,05,000
Property, Plant and Equipment	6,00,000	
Current Assets	2,00,000	
Unsecured Loans		2,00,000
Current Liabilities		1,00,000
Capital		4,01,000

Closing inventory was valued at ₹ 1,00,000.

You are required to prepare the Consolidated Financial Statement.

Answer

Consolidated Profit & Loss Account

Particulars	Note No.	(₹)
Revenue from operations	1	13,05,000
Total Revenue (A)		13,05,000
Purchases	2	9,00,000
Other expenses	3	3,06,000
Changes in inventories of finished goods	4	(1,00,000)
Total Expenses (B)		11,06,000
Profit Before Tax (A–B)		**1,99,000**

Consolidated Balance Sheet

		Note No.	(₹)
I	**Equity and liabilities**		
	1. Shareholders' funds		
	Share Capital	5	4,01,000
	Reserves and Surplus	6	1,99,000
	2. Non-current liabilities		
	Long term borrowings	7	2,00,000
	3. Current Liabilities	8	1,00,000
			9,00,000
II	**Assets**		
	1. Non-current Assets		
	Property, Plant and Equipment	9	6,00,000
	2. Current Assets		
	Inventories	10	1,00,000
	Other current assets	11	2,00,000
			9,00,000

Notes to Accounts

	Particulars	(₹)	(₹)
1.	**Revenue from operations**		
	Sales:		
	A Ltd.	7,25,000	
	B Ltd.	5,80,000	13,05,000
2.	**Purchase**		
	A Ltd.	5,00,000	
	B Ltd.	4,00,000	9,00,000
3.	**Other expenses**		
	A Ltd.	1,70,000	
	B Ltd.	1,36,000	3,06,000
4.	**Closing Inventory**		
	A Ltd.	50,000	
	B Ltd.	50,000	1,00,000
5.	**Share Capital**		
	A Ltd.	1,96,490	
	B Ltd.	2,04,510	4,01,000
6.	**Reserve & Surplus**		
	Profit & Loss Account:		
	A Ltd.	99,500	
	B Ltd.	99,500	1,99,000
7.	**Long Term Borrowings**		
	Unsecured Loans:		
	A Ltd.	1,00,000	
	B Ltd.	1,00,000	2,00,000
8.	**Current Liabilities**		
	A Ltd.	50,000	
	B Ltd.	50,000	1,00,000
9.	**Property, Plant and Equipment**		
	A Ltd.	3,00,000	
	B Ltd.	3,00,000	6,00,000
10.	**Inventories**		
	A Ltd.	50,000	
	B Ltd.	50,000	1,00,000
11.	**Other Current Assets**		
	A Ltd.	1,00,000	
	B Ltd.	1,00,000	2,00,000

Question 34

Mr. A, Mr. B and Mr. C entered into a joint venture to purchase a land, construct and sell flats. Mr. A purchased a land for ₹ 60,00,000 on 01.01.20X1 and for the purpose he took loan from a bank for ₹ 50,00,000 @ 8%

interest p.a. He also paid registering fees ₹ 60,000 on the same day. Mr. B supplied the materials for ₹ 4,50,000 from his godown and further he purchased the materials for ₹ 5,00,000 for the joint venture. Mr. C met all other expenses of advertising, labour and other incidental expenses which turnout to be ₹ 9,00,000. On 30.06.20X1 each of the venturer agreed to take away one flat each to be valued at ₹ 10,00,000 each flat and rest were sold by them as follow: Mr. A for ₹ 40,00,000; Mr. B for ₹ 20,00,000 and Mr. C for ₹ 10,00,000. Loan was repaid on the same day by Mr. A along with the interest and net proceeds were shared by the partners equally.

You are required to prepare the draft Consolidated Profit & Loss Account and Joint Venture Account in the books of each venturer.

Answer

Draft Consolidated Profit & Loss Account

Particulars	₹	₹	Particulars	₹	₹
To Purchase of Land:			By Sale of Flats		
Mr. A		60,00,000	Mr. A	40,00,000	
To Registration Fees:			Mr. B	20,00,000	
Mr. A		60,000	Mr. C	10,00,000	70,00,000
To Materials:			By Flats taken by Venturers:		
Mr. B		9,50,000	Mr. A	10,00,000	
To Other Expenses:		9,00,000	Mr. B	10,00,000	
To Bank Interest:			Mr. C	10,00,000	30,00,000
Mr. A		2,00,000			
To Profits:					
Mr. A	6,30,000				
Mr. B	6,30,000				
Mr. C	6,30,000	18,90,000			
		1,00,00,000			**1,00,00,000**

Joint Venture Account [In the Books of Mr. A]

Particulars	₹	Particulars	₹
To Bank Loan (Purchase of Land)	50,00,000	By Bank (Sale of Flats)	40,00,000
To Bank (Purchase of Land)	10,00,000	By Land & Building	10,00,000
To Bank (Registration Fees)	60,000	By Bank (Received from Mr. B)	14,20,000
To Bank (Bank Interest)	2,00,000	By Bank (Received from Mr. C)	4,70,000
To Profit on JV	6,30,000		
	68,90,000		**68,90,000**

Joint Venture Account [In the Books of Mr. B]

Particulars	₹	Particulars	₹
To Purchases (Material Supplied)	4,50,000	By Bank (Sale of Flats)	20,00,000
To Bank (Materials)	5,00,000	By Land & Building	10,00,000
To Profit on JV	6,30,000		

To Bank (Paid to Mr. A)	14,20,000		
	30,00,000		**30,00,000**

Joint Venture Account [In the Books of Mr. C]

Particulars	**₹**	**Particulars**	**₹**
To Bank (Misc. Expenses)	9,00,000	By Bank (Sale of Flats)	10,00,000
To Profit on JV	6,30,000	By Land & Building	10,00,000
To Bank (Paid to Mr. A)	4,70,000		
	20,00,000		**20,00,000**

Question 35

A Ltd., B Ltd. and C Ltd. decided to jointly construct a pipeline to transport the gas from one place to another that was manufactured by them. For the purpose following expenditure was incurred by them: Buildings ₹ 12,00,000 to be depreciated @ 5% p.a., Pipeline for ₹ 60,00,000 to be depreciated @ 15% p.a., computers and other electronics for ₹ 3,00,000 to be depreciated @ 40% p.a. and various vehicles of ₹ 9,00,000 to be depreciated @ 20% p.a.

They also decided to equally bear the total expenditure incurred on the maintenance of the pipeline that comes to ₹ 6,00,000 each year.

You are required to show the consolidated balance sheet and the extract of Statement of Profit & Loss and Balance Sheet for each venturer.

Answer

Consolidated Balance Sheet

		Note	**(₹)**
I	**Equity and liabilities**		
	Shareholders' funds		
	Share Capital	1	71,40,000
			71,40,000
II	**Assets**		
	Non-current Assets		
	Property, Plant and Equipment:	2	71,40,000
			71,40,000

Notes to Accounts

		(₹)	**(₹)**
1.	**Share capital**		
	A Ltd.	23,80,000	
	B Ltd.	23,80,000	
	C Ltd.	23,80,000	71,40,000
2.	**Property, Plant and Equipment**		
	Land & Building:		

	A Ltd.	3,80,000	
	B Ltd.	3,80,000	
	C Ltd.	3,80,000	11,40,000
	Plant & Machinery:		
	A Ltd.	17,00,000	
	B Ltd.	17,00,000	
	C Ltd.	17,00,000	51,00,000
	Computers:		
	A Ltd.	60,000	
	B Ltd.	60,000	
	C Ltd.	60,000	1,80,000
	Vehicles:		
	A Ltd.	2,40,000	
	B Ltd.	2,40,000	
	C Ltd.	2,40,000	7,20,000

In the Books of A Ltd.

Extract of statement of Profit & Loss

Particulars	**Note No.**	**₹**
Depreciation and amortisation expense	1	4,20,000
Other operating Expenses (Pipeline Expenses)		200,000

Extract of Balance Sheet

Particulars	**Note No.**	**₹**
Assets		
Non-current assets		
Property, Plant and Equipment	2	23,80,000

Notes to Accounts

		(₹)	**(₹)**
1.	**Depreciation and amortisation expense**		
	Land & Building	20,000	
	Plant & Machinery	3,00,000	
	Computers	40,000	
	Vehicles	60,000	4,20,000
2.	**Property, Plant and Equipment**		
	Land & Building	4,00,000	
	Less: Depreciation	(20,000)	3,80,000
	Plant & Machinery	20,00,000	
	Less: Depreciation	(3,00,000)	17,00,000
	Computers	1,00,000	
	Less: Depreciation	(40,000)	60,000
	Vehicles	3,00,000	

	Less: Depreciation	(60,000)	2,40,000
			23,80,000

In the Books of B Ltd.

Extract of draft Profit & Loss Account

Particulars	Note No.	₹
Depreciation and amortisation expense	1	4,20,000
Other operating Expenses (Pipeline Expenses)		200,000

Extract of Balance Sheet

Particulars	Note No.	₹
Assets		
Non-current assets		
Property, Plant and Equipment	2	23,80,000

Notes to Accounts

		(₹)	(₹)
1.	**Depreciation and amortisation expense**		
	Land & Building	20,000	
	Plant & Machinery	3,00,000	
	Computers	40,000	
	Vehicles	60,000	4,20,000
2.	**Property, Plant and Equipment**		
	Land & Building	4,00,000	
	Less: Depreciation	(20,000)	3,80,000
	Plant & Machinery	20,00,000	
	Less: Depreciation	(3,00,000)	17,00,000
	Computers	1,00,000	
	Less: Depreciation	(40,000)	60,000
	Vehicles	3,00,000	
	Less: Depreciation	(60,000)	2,40,000
			23,80,000

In the Books of C Ltd.

Extract of draft Profit & Loss Account

Particulars	Note No.	₹
Depreciation and amortisation expense	1	4,20,000
Other operating Expenses (Pipeline Expenses)		200,000

Extract of Balance Sheet

Particulars	Note No.	₹
Assets		
Non-current assets		

Property, Plant and Equipment	2	23,80,000

Notes to Accounts

		(₹)	(₹)
1.	**Depreciation and amortisation expense**		
	Land & Building	20,000	
	Plant & Machinery	3,00,000	
	Computers	40,000	
	Vehicles	60,000	4,20,000
2.	**Property, Plant and Equipment**		
	Land & Building	4,00,000	
	Less: Depreciation	(20,000)	3,80,000
	Plant & Machinery	20,00,000	
	Less: Depreciation	(3,00,000)	17,00,000
	Computers	1,00,000	
	Less: Depreciation	(40,000)	60,000
	Vehicles	3,00,000	
	Less: Depreciation	(60,000)	2,40,000
			23,80,000

Question 36

A Ltd. entered into a joint venture with B Ltd. on 1:1 basis and a new company C Ltd. was formed for the same purpose and following is the balance sheet of all the three companies:

Particulars	A Ltd.	B Ltd.	C Ltd.
Share Capital	10,00,000	7,50,000	5,00,000
Reserve & Surplus	18,00,000	16,00,000	12,00,000
Loans	3,00,000	4,00,000	2,00,000
Current Liabilities	4,00,000	2,50,000	1,00,000
Property, Plant and Equipment	30,50,000	26,25,000	19,50,000
Investment in JV	2,50,000	2,50,000	–
Current Assets	2,00,000	1,25,000	50,000

Prepare the balance sheet of A Ltd. and B Ltd. under proportionate consolidation method.

Answer

Balance Sheet of A Ltd.

		Note No.	(₹)
I	**Equity and liabilities**		
	1. Shareholders' funds		
	Share Capital	1	10,00,000
	Reserves and Surplus	2	24,00,000

	2. Non-current liabilities		
	Long term borrowings	3	4,00,000
	3. Current Liabilities	4	4,50,000
	TOTAL		**42,50,000**
II	**Assets**		
	1. Non-current Assets		
	Property, Plant and Equipment	4	40,25,000
	2. Current Assets	5	2,25,000
	TOTAL		**42,50,000**

Notes to Accounts

		₹	₹
1.	**Reserves and Surplus**		
	A Ltd.	18,00,000	
	C Ltd.	6,00,000	24,00,000
2.	**Long Term Borrowings**		
	Loans:		
	A Ltd.	3,00,000	
	C Ltd.	1,00,000	4,00,000
3.	**Current Liabilities**		
	A Ltd.	4,00,000	
	C Ltd.	50,000	4,50,000
4.	**Property, Plant and Equipment:**		
	A Ltd.	30,50,000	
	C Ltd.	9,75,000	40,25,000
5.	**Current Assets**		
	A Ltd.	2,00,000	
	C Ltd.	25,000	2,25,000

Balance Sheet of B Ltd.

		Note No.	(₹)
I	**Equity and liabilities**		
	1. Shareholders' funds		
	Share Capital	1	7,50,000
	Reserves and Surplus	2	22,00,000
	2. Non-current liabilities		
	Long term borrowings	3	5,00,000
	3. Current Liabilities	4	1,50,000
	TOTAL		**37,50,000**
II	**Assets**		
	1. Non-current Assets		
	Property, Plant and Equipment	4	36,00,000
	2. Current Assets	5	36,00,000

	TOTAL		**37,50,000**

Notes to Accounts

		₹	₹
1.	**Reserves and Surplus**		
	B Ltd.	16,00,000	
	C Ltd.	6,00,000	22,00,000
2.	**Long Term Borrowings**		
	Loans:		
	B Ltd.	4,00,000	
	C Ltd.	1,00,000	5,00,000
3.	**Current Liabilities:**		
	B Ltd.	2,50,000	
	C Ltd.	50,000	3,00,000
4.	**Property, Plant and Equipment:**		
	B Ltd.	26,25,000	
	C Ltd.	9,75,000	36,00,000
5.	**Current Assets:**		
	B Ltd.	1,25,000	
	C Ltd.	25,000	1,50,000

CHAPTER - 22
AS 22: Accounting for Taxes on Income

Calculation of Deferred Tax

Question 1

Rama Ltd., has provided the following information:

	₹
Depreciation as per accounting records	2,00,000
Depreciation as per income tax records	5,00,000
Unamortised preliminary expenses as per tax record	30,000

There is adequate evidence of future profit sufficiency. How much net deferred tax asset/liability should be recognised as transition adjustment? Tax rate 50%.

Answer

Table showing calculation of deferred tax asset/liability

Particulars	Amount	Timing differences	Deferred tax	Amount @ 50%
Excess depreciation as per tax records (₹ 5,00,000 – ₹ 2,00,000)	3,00,000	Timing	Deferred tax liability	1,50,000
Unamortised preliminary expenses as per tax records	30,000	Timing	Deferred tax asset	(15,000)
Net deferred tax liability				**1,35,000**

Question 2

Ultra Ltd. has provided the following information:

Depreciation as per accounting records = ₹ 4,00,000

Depreciation as per tax records = ₹ 10,00,000

Unamortized preliminary expenses as per tax record = ₹ 30,000

There is adequate evidence of future profit sufficiency. How much deferred tax asset/liability should be recognized as transition adjustment when the tax rate is 50%?

Answer

Calculation of difference between taxable income and accounting income

Particulars	Amount (₹)
Excess depreciation as per tax ₹ (10,00,000 – 4,00,000)	6,00,000
Less: Expenses unamortized in tax records	(30,000)
Timing difference	**5,70,000**

Tax expense is more than the current tax due to timing difference. Therefore, deferred tax liability = 50% x 5,70,000 = 2,85,000

Question 3

Saras Ltd. closes its books as on 31st March 20X2. They have accrued ₹ 5,00,000 towards GST Liability for the month of March 20X2 by debiting their Profit and loss statement which is expected to be paid off by 21st April 20X2. As per the provisions of Section 43B of the Income Tax Act, 1961, any expenditure of the nature mentioned in section 43B (e.g. taxes, duty, cess, fees, etc.) accrued in the statement of profit and loss on mercantile basis will be allowed for tax purposes in subsequent years on payment basis only. Assuming a Tax rate of 30% determine the Deferred Tax Asset/Liability as at 31st March 20X2.

Answer

Calculation of difference between taxable income and accounting income

Particulars	Amount (₹)
GST Liability debited in books	5,00,000
Less: GST Liability allowed under Income Tax Act (Section 43B)	Nil
Timing difference	**5,00,000**

Tax expense is less than the current tax due to timing difference.

Therefore, deferred tax Asset = 30% x 5,00,000 = 1,50,000

Question 4

Omega Limited is working on different projects which are likely to be completed within 3 years period. It recognises revenue from these contracts on percentage of completion method for financial statements during 20X0-20X1, 20X1-20X2 and 20X2-20X3 for ₹ 11,00,000, ₹ 16,00,000 and ₹ 21,00,000 respectively. However, for Income-tax purpose, it has adopted the completed contract method under which it has recognised revenue of ₹ 7,00,000, ₹ 18,00,000 and ₹ 23,00,000 for the years 20X0-20X1, 20X1-20X2 and 20X2-20X3 respectively. Income-tax rate is 35%. Compute the amount of deferred tax asset/liability for the years 20X0-20X1, 20X1-20X2 and 20X2-20X3.

Answer

Calculation of Deferred Tax Asset/Liability in Omega Limited

Year	Accounting Income	Taxable Income	Timing Difference	Timing Difference (balance)	Deferred Tax	Deferred Tax Liability (balance)
20X0-20X1	11,00,000	7,00,000	4,00,000	4,00,000	1,40,000	1,40,000
20X1-20X2	16,00,000	18,00,000	(2,00,000)	2,00,000	(70,000)	70,000
20X2-20X3	21,00,000	23,00,000	(2,00,000)	NIL	(70,000)	NIL
	48,00,000	**48,00,000**				

Question 5

Delta Ltd. is working on different projects those are likely to be completed within 3 years period. It recognizes revenue from these contracts on Percentage of Completion Method for Financial Statements for the years ending 20X1, 20X2 and 20X3 for ₹ 34 Lakhs, ₹ 50 Lakhs and ₹ 65 Lakhs respectively.

However, for Income Tax purpose, it has adopted the Completed Contract Method under which it has

recognized revenue of ₹ 30 Lakhs, ₹ 52 Lakhs and ₹ 67 Lakhs for the years ending 20X1, 20X2 and 20X3 respectively. Income Tax rate is 30%.

Compute the amount of Deferred Tax Asset/Liability and Total Tax Expenses for the years ending 31st March 20X1, 20X2 and 20X3.

Answer

Calculation of Deferred Tax Asset/Liability in Delta Limited

Year	Accounting Income	Taxable Income	Timing Difference	Timing Difference (balance)	Deferred Tax	Deferred Tax Liability (balance)
20X1	34,00,000	30,00,000	4,00,000	4,00,000	1,20,000	1,20,000
20X2	50,00,000	52,00,000	(2,00,000)	2,00,000	(60,000)	60,000
20X3	65,00,000	67,00,000	(2,00,000)	NIL	(60,000)	NIL

Calculation of total tax

Year	₹	Current tax expense	Total tax
20X1	1,20,000	(30,00,000 x 30%) = 9,00,000	10,20,000
20X2	(60,000)	(52,00,000 x 30%) = 15,60,000	15,00,000
20X3	(60,000)	(67,00,000 x 30%) = 20,10,000	19,50,000

Note: It is assumed that the revenue and the taxable profit is the same.

Question 6

ABC Company limited had an investment in Venture Capital amounting ₹ 10 Crores. Venture capital in turn had invested in the below portfolio companies (New Start-ups) on behalf of ABC Limited:

Portfolio Companies	Amount of investment (₹ in Crores)
Oscar Limited	2
Zee Limited	3
Star Limited	4
Sony Limited	1
Total	**10**

During the FY 20X1-20X2, Venture Capital had sold their investment in Star Limited and realised an amount of ₹ 8 Crores on sale of shares of star Limited and entire proceeds of ₹ 8 Crores have been transferred by Venture Capital to ABC Company Limited.

The accounts manager has received the following additional information from venture capital on 31.03.20X2:

(1) 8 Crores has been deducted from the cost of investment and carrying amount of investment as at year end is 2 Crores.

(2) Company had to pay a capital gain tax @ 20% on the net sale consideration of ₹ 4 Crores.

(3) Due to COVID-19, the remaining start-ups (i.e. Oscar Limited, Zee Limited, and Sony Limited) are not performing well and will soon wind up their operations. Venture capital is monitoring the situation and if required they will provide an impairment loss in June 20X2 Quarter.

You need to suggest the accounts manager what should be the correct accounting treatment as per AS 22

"Accounting for Taxes on Income".

Answer

As company had to pay capital gain tax @ 20% on the net sale consideration as per income tax laws, the company has to recognise a current tax liability of 0.8 Crores computed as under:

Particulars	Amount (₹ in Crores)
Sales Consideration	8
Cost of Investment	4
Net gain on Sale	4
Tax @ 20%	0.8

As per AS 22, Timing differences are those differences between taxable income and accounting income for a period that originate in one period and are capable of reversal in one or more subsequent periods.

Particulars	Amount (₹ in Crores)	Rationale
Taxable Income	4	As per income tax laws
Accounting Income	Nil	As the same is deducted from the cost of investment
Timing Difference	4	

As per AS 22, deferred tax assets should be recognised and carried forward only to the extent that there is a reasonable certainty that sufficient future taxable income will be available against which such deferred tax assets can be realised.

Since in current scenario, due to Covid 19 the portfolio companies are not performing well, thus the company may not have sufficient future taxable income which will reverse deferred tax assets. Therefore, the company should not recognise DTA of ₹ 0.8 Crores and company should recognise only current tax liability of ₹ 0.8 Crores.

Question 7

The following information is furnished in respect of Mohit Limited for the year ending 31st March, 20X2.

(i) Depreciation as per accounting records ₹ 56,000

Depreciation for income tax records ₹ 38,000

The above depreciation does not include depreciation on new addition.

(ii) A new machinery purchased on 1st April, 20X1 costing ₹ 24,000 on which 100% depreciation in allowed in the 1st Year for income tax purpose, whereas straight line method of depreciation is considered appropriate for accounting purpose with a life estimation of 4 years.

(ii) The company has made a profit of ₹ 1,28,000 before depreciation and taxes.

(iv) Donation to private trust during the year is ₹ 15,000 (not allowed under Income tax laws).

(v) Corporate tax is 40%.

Prepare relevant extract of statement of Profit & Loss for the year ending 31st March, 20X2. Also show the effect of the above items on Deferred Tax Liability/Assets as per AS 22.

Answer

Statement of profit and Loss for the year ended 31st March, 20X2 (An Extract)

	₹
Profit before taxes and depreciation	1,28,000
Less: Depreciation (56,000 + 6,000)	62,000
Profit before tax	66,000
Less: Current tax (W.N)	(32,400)
Deferred Tax	Nil
Profit after tax	**33,600**

Working Note: Computation of taxable income

	₹
Profit before taxes and depreciation	1,28,000
Less: Depreciation (38,000 + 24,000)	(62,000)
	66,000
Add: Donation	15,000
	81,000
Current tax (40%)	32,400

Note: The profit of ₹ 1,28,000 given in the question is before depreciation and taxes. It has been considered that this amount is after making adjustment of donation amounting ₹ 15,000.

Impact of various items in terms of deferred tax liability/deferred tax asset

Transactions	Nature of difference	Effect	Amount
(1) Difference in depreciation (old machinery)	Timing difference	Reversal of DTL	(56,000 – 38,000) x 40% = (+) ₹ 7,200
(2) Depreciation on new machinery	Timing difference	Creation of DTL	(24,000 – 6,000) x 40% = (–) ₹ 7,200
(3) Donation to private trusts	Permanent difference	Not applicable	–
Net Effect of deferred Tax			**NIL**

Question 8

The following particulars are stated in the Balance Sheet of Siddhi Limited as on 31st March, 20X2:

Particulars	(₹ In lakhs)
Deferred Tax Liabilities (Cr.)	2.50
Deferred Tax Assets (Dr.)	1.35

The following transactions were reported during the year 20X2-X3:

		₹ in lakhs
(i)	Depreciation as per accounting records	15.00
(ii)	Depreciation as per income tax records	20.00
(iii)	Interest paid to NBFC accounted in books on accrual basis but paid on 30.06.20X3, i.e., before the due date of filing return and allowed for tax purpose also	6.00
(iv)	Items disallowed for tax purposes in 20X1-X2 but allowed in 20X2-X3	1.05

(v) Donation to Private Trust (not allowed under Income tax laws)	40.00
(vi) Tax rate	15%
(vii) There were no additions to fixed assets during the year.	

You are required to calculate Deferred Tax Asset and Deferred Tax Liability as on 31-03-20X3 as per AS-22.

Answer

Balances of Deferred tax assets and Deferred tax liability as on 31st March, 20X3

	₹ (in lakhs)
Deferred tax liability (Cr.) (2.5 + 0.75)	3.25
Deferred tax asset (Dr.) (1.35 – 0.158)	1.192

Working Note:

Impact of various items in terms of deferred tax liability/deferred tax asset

S. No.	Transactions	Nature of difference	Effect	Amount (₹)
(i)	Difference in depreciation	Responding timing difference	Creation of DTL	(20 – 15) x 15% = 0.75
(ii)	Interest to financial Institutions	No timing difference	Not applicable	Not applicable
(iii)	Disallowances, as per IT Act, of earlier years	Timing difference	Reversal of DTA	₹ 1.05 lakh x 15% = ₹ 0.158 lakh
(iv)	Donation to private trusts	Permanent difference	Not applicable	Not applicable

Question 9

The following particulars are stated in the Balance Sheet of Deep Limited as on 31st March, 20X2:

	(₹ In Lakhs)
Deferred Tax Liability (Cr.)	28.00
Deferred Tax Assets (Dr.)	14.00

The following transactions were reported during the year 20X2-20X3:

(i) Depreciation as per books was ₹ 70 Lakhs whereas Depreciation for Tax purposes was ₹ 42 Lakhs. There were no additions to Fixed Assets during the year.

(ii) Expenses disallowed in 20X1-X2 and allowed for tax purposes in 20X2-X3 were ₹ 14 Lakhs.

(iii) Share issue expenses allowed under section 35(D) of the Income Tax Act, 1961 for the year 20X2-X3 (1/10th of ₹ 70.00 lakhs incurred in 20X1-X2).

(iv) Repairs to Plant and Machinery were made during the year for ₹ 140.00 Lakhs and was spread over the period 20X2-X3 and 20X3-X4 equally in the books. However, the entire expenditure was allowed for income-tax purposes in the year 20X2-X3.

Tax Rate to be taken at 40%. You are required to show the impact of above items on Deferred Tax Assets and Deferred Tax Liability as on 31st March, 20X3.

Answer

Impact of various items in terms of deferred tax liability/deferred tax asset on 31.3.X3

Transactions	Analysis	Nature of difference	Effect	Amount (₹)
Difference in depreciation	Generally, written down value method of depreciation is adopted under IT Act which leads to higher depreciation in earlier years of useful life of the asset in comparison to later years.	Responding timing difference	Reversal of DTL	28 lakhs x 40% = ₹ 11.20 lakhs
Disallowances, as per IT Act, of earlier years	Tax payable for the earlier year was higher on this account.	Responding timing difference	Reversal of DTA	14 lakhs x 40% = 5.6 lakhs
Share issue expenses	Due to disallowance of full expenditure under IT Act, tax payable in the earlier years was higher.	Responding timing difference	Reversal of DTA	7 lakhs x 40% = ₹ 2.8 lakhs
Repairs to plant and machinery	Due to allowance of full expenditure under IT Act, tax payable of the current year will be less.	Originating timing difference	Increase in DTL	70 lakhs x 40% = 28 lakhs

Special Cases [Carry Forward Loss, MAT, Tax Holiday Period]

Question 10

PQR Ltd.'s accounting year ends on 31st March. The company made a loss of ₹ 2,00,000 for the year ending 31.3.20X1. For the years ending 31.3.20X2 and 31.3.20X3, it made profits of ₹ 1,00,000 and ₹ 1,20,000 respectively. It is assumed that the loss of a year can be carried forward for eight years and tax rate is 40%. By the end of 31.3.20X1, the company feels that there will be sufficient taxable income in the future years against which carry forward loss can be set off. There is no difference between taxable income and accounting income except that the carry forward loss is allowed in the years ending 20X2 and 20X3 for tax purposes. Prepare a statement of Profit and Loss for the years ending 20X1, 20X2 and 20X3.

Answer

Statement of Profit and Loss

	31.3.20X1	31.3.20X2	31.3.20X3
Profit (Loss)	(2,00,000)	1,00,000	1,20,000
Less: Current tax (20,000 x 40%)			(8,000)
Deferred tax:			
Tax effect of timing differences originating during the year (2,00,000 x 40%)	80,000		
Tax effect of timing differences reversed/adjusted during the year (1,00,000 x 40%)		(40,000)	(40,000)
Profit/(Loss) After Tax Effect	**(1,20,000)**	**60,000**	**72,000**

Question 11

From the following details of A Ltd. for the year ended 31-03-20X1, calculate the deferred tax asset/liability as per AS 22 and amount of tax to be debited to the Profit and Loss Account for the year.

Particulars	₹
Accounting Profit	6,00,000
Book Profit as per MAT	3,50,000
Profit as per Income Tax Act	60,000
Tax rate	20%
MAT rate	7.50%

Answer

Tax as per accounting profit = 6,00,000 x 20% = ₹ 1,20,000

Tax as per Income-tax Profit = 60,000 x 20% = ₹ 12,000

Tax as per MAT = 3,50,000 x 7.50% = ₹ 26,250

Tax expense = Current Tax + Deferred Tax

₹ 1,20,000 = ₹ 12,000 + Deferred tax

Therefore, Deferred Tax liability as on 31-03-20X1 = ₹ 1,20,000 – ₹ 12,000 = ₹ 1,08,000

Amount of tax to be debited in Profit and Loss account for the year 31-03-20X1

= Current Tax + Deferred Tax liability + Excess of MAT over current tax

= ₹ 12,000 + ₹ 1,08,000 + ₹ 14,250 (26,250 – 12,000) = ₹ 1,34,250

Question 12

Y Ltd. is a full tax-free enterprise for the first ten years of its existence and is in the second year of its operation. Depreciation timing difference is INR 200 lakhs and INR 400 lakhs respectively which will result in a tax liability in year 1 and 2. From the third year it is expected that the timing difference would reverse each year by INR 10 lakhs. Assuming tax rate of 40%, find out the deferred tax liability at the end of the second year and any charge to the Profit and Loss account.

Answer

As per **AS 22**, 'Accounting for Taxes on Income', deferred tax in respect of timing differences which originate during the tax holiday period and reverse during the tax holiday period, should not be recognised to the extent deduction from the total income of an enterprise is allowed during the tax holiday period as per the provisions of sections 10A and 10B of the Income- tax Act. Deferred tax in respect of timing differences which originate during the tax holiday period but reverse after the tax holiday period should be recognised in the year in which the timing differences originate. However, recognition of deferred tax assets should be subject to the consideration of prudence. For this purpose, the timing differences which originate first should be considered to reverse first.

Out of ₹ 200 lakhs timing difference due to depreciation, difference amounting ₹ 80 lakhs (₹ 10 lakhs x 8 years) will reverse in the tax holiday period and therefore, should not be recognised. However, for ₹ 120 lakhs (₹ 200 lakhs – ₹ 80 lakhs), deferred tax liability will be recognised for ₹ 48 lakhs (40% of ₹ 120 lakhs) in first year. In the second year, the entire amount of timing difference of ₹ 400 lakhs will reverse only after-tax holiday period

and hence, will be recognised in full. Deferred tax liability amounting ₹ 160 lakhs (40% of ₹ 400 lakhs) will be created by charging it to profit and loss account and the total balance of deferred tax liability account at the end of second year will be ₹ 208 lakhs (₹ 48 lakhs + ₹ 160 lakhs).

Mixed Topics

Question 13

ABC Ltd. prepares its accounts annually on 31st March. On 1st April, 20X2, it purchases a machine at a cost of ₹ 1,50,000. The machine has a useful life of three years and an expected scrap value of zero. Although it is eligible for a 100% first year depreciation allowance for tax purposes, the straight line method is considered appropriate for accounting purposes. ABC Ltd. has profits before depreciation and taxes of ₹ 2,00,000 each year and corporate tax rate is 40 percent each year.

The purchase of machine at a cost of ₹ 1,50,000 in 20X2 gives rise to a tax saving of ₹ 60,000. The corporate tax rate has been assumed to be same in each of the three years. Calculate deferred tax and pass necessary journal entries.

What will be the amount of deferred tax, if the substantively enacted tax rates for 20X2, 20X3 and 20X4 are 40%, 35% and 38% respectively.

Answer

If the cost of machine is spread over three years of its life for accounting purposes, the amount of the tax saving should also be spread over the same period as shown below:

Statement of Profit and Loss (for the three years ending 31st March, 20X2, 20X3, 20X4)

	(₹ in thousand)		
	20X2	**20X3**	**20X4**
Profit before depreciation and taxes	200	200	200
Less: Depreciation for accounting purposes	50	50	50
Profit before taxes	150	150	150
Tax expense			
Current tax:			
0.40 x (200 – 150)	20		
0.40 x 200		80	80
Deferred tax:			
Tax effect of timing differences			
Originating during the year leading to DTL [0.40 (150 – 50)]	40		
Tax effect of timing differences reversing during the year [0.40 (0 – 50)]	–	(20)	(20)
Tax expense	60	60	60
Profit after tax = (PBT – Tax expense)	90	90	90
Net timing differences	100	50	0
Deferred tax liability balance	**40**	**20**	**0**

In 20X2, the amount of depreciation allowed for tax purposes exceeds the amount of depreciation charged for accounting purpose by ₹ 1,00,000 and, therefore, taxable income is lower than the accounting income. This

gives rise to a deferred tax liability of ₹ 40,000. In 20X3 and 20X4 accounting income is lower than taxable income because the amount of depreciation charged for accounting purposes exceeds the amount of depreciation allowed for tax purposes by ₹ 50,000 each year. Accordingly, deferred tax liability is reduced by ₹ 20,000 each in both the years. As may be seen, tax expense in based on the accounting income of each period.

In 20X2, the profit and loss account is debited and deferred tax liability account is credited with the amount of tax on the originating timing difference of ₹ 1,00,000 while in each of the following two years, deferred tax liability account is debited and profit and loss account is credited with the amount of tax on the reversing timing difference of ₹ 50,000.

The following Journal entries will be passed:

Year 20X2		**Debit**	**Credit**
Profit and Loss A/c	Dr.	20,000	
To Current tax A/c			20,000
(Being the amount of taxes payable for the year 20X2 provided for)			
Profit and Loss A/c	Dr.	40,000	
To Deferred tax liability A/c			40,000
(Being the DTL created for originating timing difference of ₹ 1,00,000)			
Year 20X3			
Profit and Loss A/c	Dr.	80,000	
To Current tax A/c			80,000
(Being the amount of taxes payable for the year 20X3 provided for)			
Deferred tax liability A/c	Dr.	20,000	
To Profit and Loss A/c			20,000
(Being the DTL adjusted for reversing timing difference of ₹ 50,000)			
Year 20X4			
Profit and Loss A/c	Dr.	80,000	
To Current tax A/c			80,000
(Being the amount of taxes payable for the year 20X4 provided for)			
Deferred tax liability A/c	Dr.	20,000	
To Profit and Loss A/c			20,000
(Being the DTL adjusted for reversing timing difference of ₹ 50,000)			

Presentation:

In the year 20X2, the balance of deferred tax account i.e. ₹ 40,000 would be shown separately from the current tax payable for the year in terms of paragraph 30 of AS 22. In the year 20X3, the balance of deferred tax liability account would be ₹ 20,000 and be shown separately from the current tax payable for the year as in year 20X2. In year 20X4, the balance of deferred tax liability account would be nil.

If the rate of tax changes, it would be necessary for the enterprises to adjust the amount of deferred tax liability carried forward by applying the tax rate that has been enacted or substantively enacted by the balance sheet date on accumulated timing differences at the end of the accounting year

The amount of deferred tax liability would be computed as follows:

The deferred tax liability carried forward each year would appear in the balance sheet as under:

31st March, 20X2 = 0.40 (1,00,000) = ₹ 40,000

31st March, 20X3 = 0.35 (50,000) = ₹ 17,500

31st March, 20X4 = 0.38 (Zero) = ₹ Zero

Accordingly, the amount debited (credited) to the profit and loss account (with corresponding credit or debit to deferred tax liability) for each year would be as under:

31st March, 20X2 Debit = ₹ 40,000

31st March, 20X3 (Credit) = ₹ (22,500)

31st March, 20X4 (Credit) = ₹ (17,500)

CHAPTER - 23
AS 24: Discontinuing Operations

Meaning of Discontinuing Operation

Question 1

What are discontinuing operations as per AS 24? Should an enterprise include prescribed information relating to a discontinuing operation in its financial statements?

Answer

A **discontinuing operation** is a **component** of an enterprise:

a. That the enterprise, pursuant to a **single plan**, is:

   (i) **Disposing of substantially in its entirety**, such as by selling the component in a single transaction or by demerger or spin-off of ownership of the component to the enterprise's shareholders or

   (ii) **Disposing of piecemeal**, such as by selling off the component's assets and settling its liabilities individually or

   (iii) **Terminating through abandonment** and

b. That represents a **separate major line** of business or geographical area of operations.

c. That can be **distinguished operationally** and for **financial** reporting purposes.

An enterprise **should include prescribed information** relating to a **discontinuing operation** in its **financial statements**, as per requirements of AS 24, beginning with the financial statements for the period in which the initial disclosure event occurs.

Question 2

A consumer goods producer has changed the product line as follows:

	Dish washing Bar (Per month)	Clothes washing Bar (Per month)
January 20X1 - September 20X1	2,00,000	2,00,000
October 20X1 - December 20X1	1,00,000	3,00,000
January 20X2 - March 20X2	Nil	4,00,000

The company has enforced a gradual enforcement of change in product line on the basis of an overall plan. The Board of Directors has passed a resolution in March 20X1 to this effect. The company follows calendar year as its accounting year.

You required to advise the company whether it should be treated as discontinuing operation or not as per AS 24?

Answer

As per AS 24 'Discontinuing Operations', a **discontinuing operation** is a **component** of an enterprise:

(i) that the enterprise, pursuant to a **single plan**, is:

   (1) **disposing of substantially in its entirety**,

(2) **disposing of piecemeal**, or

(3) **terminating through abandonment**; and

(ii) that represents a **separate major line** of business or geographical area of operations; and

(iii) that can be **distinguished operationally** and for **financial** reporting purposes.

As per provisions of the standard, business enterprises frequently close facilities, abandon products or even product lines, and change the size of their work force in response to market forces. While those kinds of terminations generally are not, in themselves, discontinuing operations, they can occur in connection with a discontinuing operation. Examples of activities that do **not necessarily satisfy criterion of discontinuing operation** are **gradual or evolutionary phasing** out of a product line or class of service, discontinuing, even if relatively abruptly, several products within an ongoing line of business;

In the **given case**, the company has **enforced a gradual enforcement of change** in product line and does not represent a separate major line of business and hence is **not a discontinued operation**. If it were a discontinuing operation, the initial disclosure event is the occurrence of one of the following, whichever occurs earlier:

(i) the enterprise has entered into a binding sale agreement for substantially all of the assets attributable to the discontinuing operation; or

(ii) the enterprises board of directors or similar governing body has both approved a detailed, formal plan for discontinuance and made an announcement of the plan.

Question 3

Rohini Limited is in the business of manufacture of passenger cars and commercial vehicles. The Company is working on a strategic plan to close the production of passenger cars and to produce only commercial vehicles over the coming 5 years. However, no specific plans have been drawn up for sale of neither the division nor its assets. As part of its prospective plan it will reduce the production of passenger cars by 20% annually. It also plans to establish another new factory for the manufacture of commercial vehicles and transfer surplus employees in a phased manner.

You are required to comment:

(i) If mere gradual phasing out in itself can be considered as a 'discontinuing operation' within the meaning of AS-24.

(ii) If the Company passes a resolution to sell some of the assets in the passenger car division and also to transfer few other assets of the passenger car division to the new factory, does this trigger the application of AS-24?

(iii) Would your answer to (ii) above be different if the Company resolves to sell the assets of the passenger car division in a phased but time bound manner?

Answer

(i) A **discontinuing operation is** a **component** of an enterprise:

(a) that the enterprise, pursuant to a **single plan**, is:

(i) **disposing of substantially in its entirety**, such as by selling the component in a single transaction or by demerger or spin-off of ownership of the component to the enterprise's shareholders; or

(ii) **disposing of piecemeal**, such as by selling off the component's assets and settling its liabilities individually; or

(iii) terminating through **abandonment**; and

(b) that represents a **separate major line** of business or geographical area of operations; and

(c) that can be **distinguished operationally** and for **financial** reporting purposes.

Mere **gradual phasing out is not considered as discontinuing operation** as defined under AS 24, 'Discontinuing Operations'.

Examples of activities that do not necessarily satisfy criterion of the definition, but that might do so in combination with other circumstances, include:

(i) **Gradual or evolutionary** phasing out of a product line or class of service;

(ii) **Shifting** of some production or marketing activities for a particular line of business from one location to another; and

(iii) **Closing of a facility** to achieve productivity improvements or other cost savings.

In this case, it cannot be considered as Discontinuing Operation as per AS-24 as the companies' strategic plan has **no final approval from the board** through a resolution and there is **no specific time bound activities** like shifting of assets and employees. Moreover, the new segment i.e. commercial vehicle production line in a **new factory has not started**.

(ii) **No,** the **resolution is silent** about **stoppage of the Car** segment in **definite time period**. Though, sale of some assets and some transfer proposals were passed through a resolution to the new factory, but the closure road map and new segment starting roadmap are missing.

Hence AS 24 will not be applicable and it **cannot be considered as Discontinuing operations**.

(iii) **Yes,** phased and time bound program resolved in the board clearly indicates the closure of the passenger car segment in a definite time frame and will constitute a clear roadmap.

Hence this action will attract compliance of AS 24 and it will be **considered as Discontinuing Operations as per AS-24**.

Disclosure Requirements for Discontinuing Operation

Question 4

What are the initial disclosure requirements of AS 24 for discontinuing operations?

Answer

An enterprise should include the following information relating to a discontinuing operation in its financial statements beginning with the financial statements for the period in which the initial disclosure event occurs:

(a) A **description** of the discontinuing operation(s)

(b) The **business or geographical** segment(s) in which it is reported as per AS 17.

(c) The **date and nature of the initial disclosure event**.

(d) The date or period in which the discontinuance is **expected to be completed** if known or determinable

(e) The **carrying amounts**, as of the balance sheet date, of the **total assets** to be disposed of and the total **liabilities** to be settled.

(f) The amounts of **revenue and expenses** in respect of the ordinary activities attributable to the discontinuing operation during the current financial reporting period.

(g) The amount of **pre-tax profit** or loss from ordinary activities attributable to the discontinuing operation during the current financial reporting period, and the income tax expense related thereto.

(h) The amounts of **net cash flows** attributable to the operating, investing, and financing activities of the discontinuing operation during the current financial reporting period.

Question 5

What are the disclosure requirements in interim financial reports as per AS 24 for discontinuing operations?

Answer

Disclosure in interim financial reports

Disclosures in an interim financial report in respect of a discontinuing operation should be made in accordance with AS 25, 'Interim Financial Reporting', including:

(a) **Any significant activities** or events since the end of the most recent annual reporting period relating to a discontinuing operation and

(b) **Any significant changes** in the amount or timing of cash flows relating to the assets to be disposed or liabilities to be settled.

Question 6

(i) What are the disclosure and presentation requirements of AS 24 for discontinuing operations?

(ii) Give four examples of activities that do not necessarily satisfy criterion of paragraph 3 of AS 24, but that might do so in combination with other circumstances.

Answer

(i) An enterprise should include prescribed information relating to a discontinuing operation in its financial statements beginning with the financial statements for the period in which the initial disclosure event (as defined in paragraph 15 of AS 24) occurs.

Initial Disclosure

An enterprise should include the following information relating to a discontinuing operation in its financial statements beginning with the financial statements for the period in which the initial disclosure event occurs:

(a) A description of the discontinuing operation(s);

(b) The business or geographical segment(s) in which it is reported as per AS 17;

(c) The date and nature of the initial disclosure event;

(d) The date or period in which the discontinuance is expected to be completed if known or determinable;

(e) The carrying amounts, as of the balance sheet date, of the total assets to be disposed of and the total liabilities to be settled;

(f) The amounts of revenue and expenses in respect of the ordinary activities attributable to the

discontinuing operation during the current financial reporting period;

(g) The amount of pre-tax profit or loss from ordinary activities attributable to the discontinuing operation during the current financial reporting period, and the income tax expense related thereto;

(h) The amounts of net cash flows attributable to the operating, investing, and financing activities of the discontinuing operation during the current financial reporting period;

Disclosures Other Than Initial Disclosures Note

All the disclosures above should be presented in the notes to the financial statements except for amounts pertaining to pre-tax profit/loss of the discontinuing operation and the income tax expense thereon (second last bullet above) which should be shown on the face of the statement of profit and loss.

Other disclosures

When an enterprise disposes of assets or settles liabilities attributable to a discontinuing operation or enters into binding agreements for the sale of such assets or the settlement of such liabilities, it should include, in its financial statements, the following information when the events occur:

(a) For any gain or loss that is recognised on the disposal of assets or settlement of liabilities attributable to the discontinuing operation, (i) the amount of the pre-tax gain or loss and (ii) income tax expense relating to the gain or loss and

(b) The net selling price or range of prices (which is after deducting expected disposal costs) of those net assets for which the enterprise has entered into one or more binding sale agreements, the expected timing of receipt of those cash flows and the carrying amount of those net assets on the balance sheet date.

(ii) Examples of activities that do not necessarily satisfy criterion (a) of the definition, but that might do so in combination with other circumstances, include:

(a) **Gradual or evolutionary** phasing out of a product line or class of service;

(b) **Discontinuing**, even if relatively abruptly, several products within an ongoing line of business;

(c) **Shifting** of some production or marketing activities for a particular line of business from one location to another; and

(d) **Closing of a facility** to achieve productivity improvements or other cost savings.

CHAPTER - 24
AS 25: Interim Financial Reporting

Preparation of Interim Financial Statements

Question 1

What are the periods for which Interim financial Statements are required to be presented? You are required to answer your question in light of preparation of financial statements for the quarter period ended and as at 31st December, 20X1. The Financial Year is FY 20X1-X2.

Answer

As per Accounting Standard 25, Interim reports should include interim financial statements (condensed or complete) for periods as given below.

Statement	Current period	Comparative period
Balance sheet	End of current interim period	End of immediately preceding financial year
Statement of profit and loss	Current interim period and cumulatively for the year-to-date	Comparable interim period and year-to-date of immediately preceding financial year
Cash flow statement	Cumulatively for the current financial year- to-date	Comparable year-to-date of immediately preceding financial year

In light of the above, following periods needs to be covered in interim financial statements for the period ended and as at 31st December, 20X1:

Balance Sheet	As of the end of the current interim period and a comparativebalance sheet as of the end of the immediately preceding financial year (**As at 31st December 20X1 and 31st March 20X1**).
Statements of Profit and Loss	For the current interim period and cumulatively for the current financial year to date, with comparative statements ofprofit and loss for the comparable interim periods (current and year-to-date) of the immediately preceding financial year. (**for 3 months and 9 months** i.e., year to date **ended 31st December 20X1 and same for 31st December 20X0** being comparative period).
Cash Flow Statement	Cumulatively for the current financial year to date, with a comparative statement for the comparable year-to-date period of the immediately preceding financial year. (**year to date** i.e., **1st April 20X1 to 31st December 20X1 and 1st April 20X0 to 31st December 20X0**).

Recognition of Items in Interim Financial Statements [Income & Expenses]

Question 2

Sincere Corporation is dealing in seasonal product. Sales pattern of the product quarter-wise is as follows:

1st quarter: 30th June	10%
2nd quarter: 30th September	10%
3rd quarter: 31st December	60%
4th quarter: 31st March	20%

Information regarding the 1st quarter ended on 30th June, 20X1 is as follows:

Sales	₹ 80 crores
Salary and other expenses	₹ 60 crores
Advertisement expenses (routine)	₹ 4 crores
Administrative and selling expenses	₹ 8 crores

While preparing interim financial report for first quarter Sincere Corporation wants to defer ₹ 10 crores expenditure to third quarter on the argument that third quarter is having more sales, therefore, the third quarter should be debited by more expenditure. Considering the seasonal nature of business and the expenditures are uniform throughout all quarters, calculate the result of the first quarter as per AS 25. Also give a comment on the company's view.

Answer

Particulars		**(₹ in crores)**
Result of first quarter ended 30th June, 20X1		
Turnover		80
Other Income		Nil
Total	**(a)**	**80**
Changes in inventories		Nil
Salaries and other cost		60
Administrative and selling Expenses (4 + 8)		12
Total	**(b)**	**72**
Profit	**(a) – (b)**	**8**

According to AS 25, the Income and Expense should be recognized when they are earned and incurred respectively. Therefore, seasonal incomes will be recognized when they occur. Thus, the company's view is not as per AS 25.

Question 3

Intelligent Corporation (I Corp.) is dealing in seasonal products. The quarterly sales pattern of the product is given below:

Quarter	**I**	**II**	**III**	**IV**
Ending	30th June	30th September	31st December	31st March
	15%	15%	50%	25%

For the First quarter ending 30th June, 20X1, I Corp. gives you the following information:

	₹ crores
Sales	50
Salary and other expenses	30
Advertisement expenses (routine)	2
Administrative and selling expenses	8

While preparing interim financial report for the first quarter, 'I Corp.' wants to defer ₹ 21 crores expenditure to third quarter on the argument that third quarter is having more sales, therefore, third quarter should be debited by higher expenditure, considering the seasonal nature of business and that the expenditures are

uniform throughout all quarters.

Calculate the result of first quarter as per AS 25 and comment on the company's view.

Answer

Result of the first quarter ended 30th June, 20X1

		(₹ in crores)
Turnover		50
Add: Other Income		Nil
Total		50
Less: Change in inventories	Nil	
Salaries and other cost	30	
Administrative and selling expenses (8 + 2)	10	(40)
Profit		**10**

As per AS 25 on Interim Financial Reporting, the income and expense should be recognized when they are earned and incurred respectively. As per AS 25, the costs should be anticipated or deferred only when

(i) it is appropriate to anticipate that type of cost at the end of the financial year, and

(ii) costs are incurred unevenly during the financial year of an enterprise.

Therefore, the argument given by I-Corp relating to deferment of ₹ 21 crores is not tenable as expenditures are uniform throughout all quarters.

Question 4

Accountants of Poornima Ltd. showed a net profit of ₹ 7,20,000 for the third quarter of 20X1 after incorporating the following:

(i) Bad debts of ₹ 40,000 incurred during the quarter. 50% of the bad debts have been deferred to the next quarter.

(ii) Extra ordinary loss of ₹ 35,000 incurred during the quarter has been fully recognized in this quarter.

(iii) Additional depreciation of ₹ 45,000 resulting from the change in the method of charge of depreciation assuming that ₹ 45,000 is the charge for the 3rd quarter only.

Ascertain the correct quarterly income.

Answer

In the above case, the quarterly income has not been correctly stated. As per AS 25 "Interim Financial Reporting", the quarterly income should be adjusted and restated as follows:

Bad debts of ₹ 40,000 have been incurred during current quarter. Out of this, the company has deferred 50% (i.e.) ₹ 20,000 to the next quarter. Therefore, ₹ 20,000 should be deducted from ₹ 7,20,000. The treatment of extra-ordinary loss of ₹ 35,000 being recognized in the same quarter is correct.

Recognising additional depreciation of ₹ 45,000 in the same quarter is in tune with AS 25. Hence, no adjustments are required for these two items.

Poornima Ltd should report quarterly income as **₹ 7,00,000 (₹ 7,20,000 – ₹ 20,000).**